2025

(NEP—2020)

(5th Semester)

ECONOMICS (MAJOR2)

(Industrial Economics)

Full Marks : 75

Time : 3 hours

The figures in the margin indicate full marks for the questions

(SECTION : A—OBJECTIVE)

(*Marks* : 10)

Tick (✓) the correct answer in the brackets provided : 1×10=10

1. Which of the following is used to measure the performance of industries in India?

   (a) IIP ( ) *(b)* CPI ( )

   (c) WPI ( ) *(d)* GDP ( )

2. Which of the following is an example of backward linkages for an industry?

   (a) A clothes manufacturer owns a store ( )

   (b) A bread factory has a bakery ( )

   (c) A potato chips factory has a contract with a potato farmer ( )

   (d) A chilli farmer makes pickles for sale ( )

3. Sole proprietorship is an example of

(a) cooperative sector ( ) (b) public sector ( )

(c) private sector ( ) (d) joint sector ( )

4. A private corporation or joint stock company is formed under

(a) the Factories Act, 1948 ( )

(b) the Indian Partnership Act, 1932 ( )

(c) the Industries Act, 1951 ( )

(d) the Companies Act, 2013 ( )

5. The concentration of market power is mainly caused by

(a) monopolistic competition ( )

(b) monopoly ( )

(c) free market ( )

(d) perfectly competitive market ( )

6. The theory of industrial location based on the distribution of population was given by

(a) Sargent Florence ( ) (b) Alfred Weber ( )

(c) E. M. Hoover ( ) (d) Greenhut and Fetter ( )

7. When a large firm purchases a smaller firm from its shareholders, it is called

(a) lateral diversification ( )

(b) horizontal integration ( )

(c) dispersion ( )

(d) acquisition ( )

8. To reduce regional imbalances, the Government of India tries to set up industries in

(a) backward/underdeveloped regions ( )

(b) developed regions ( )

(c) regions with high industrial output ( )

(d) regions with high agricultural output ( )

9. When a firm raises funds by issuing shares to investors, it is called

(a) debt financing ( )

(b) equity financing ( )

(c) bank financing ( )

(d) institutional financing ( )

10. Total Factor Productivity is the ratio of total output and total _____ of time during a given period.

(a) finance ( ) *(b)* labour ( )

(c) machinery ( ) *(d)* input ( )

(SECTION : B—SHORT ANSWERS)

(*Marks* : 15)

Write notes on *five* of the following, taking at least *one* from each Unit : 3×5=15

UNIT—I

1. Industrialization
2. National Industrial Classification, 2008

UNIT—II

3. Private sector
4. Industrial concentration

UNIT—III

5. Factors influencing location of industries
6. Problems of regional imbalance

UNIT—IV

7. Equity financing
8. Under-utilization of capacity

(SECTION : C—DESCRIPTIVE)

(*Marks* : 50)

Answer *five* of the following questions, taking at least *one* from each Unit : 10×5=50

UNIT—I

1. Elaborate on the relationship between Industry and Economic Development.

2. Describe the sectoral linkage between Agriculture and Industrial sectors.

UNIT—II

3. Explain the role and structure of the public sector in India.

4. Discuss the role of Multinational Corporations (MNCs).

UNIT—III

5. Critically discuss Weber's theory of location of industries.

6. Elaborate on the integration and merger of industrial units.

UNIT—IV

7. Discuss the major sources of institutional finance for industries in India.

8. What is industrial sickness? Explain the main causes of industrial sickness.

★★★